Policy Economy Inflation

Lower inflation sets up RBA rate cut



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Updated Jul 30, 2025 – 12.00pm,
first published at 11.57am

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Lower fuel prices and easing home building costs have helped the Reserve Bank of Australia's preferred measure of underlying inflation moderate to a 3½-year low of 2.7 per cent, setting up a near certain interest rate cut in less than two weeks and potentially more relief before Christmas.

The headline annual consumer price index (CPI) fell to an even better four-year low of 2.1 per cent in the June quarter, assisted by

temporary government subsidies for energy bills for households and small businesses.



Reserve Bank governor Michele Bullock: the inflation measure seems to have passed the bank's test to lower rates. **Michaela Pollock**

Market economists said the ongoing moderation of inflation pressures virtually guaranteed the RBA monetary policy board would cut the 3.85 per cent cash rate at its August 11-12 meeting, after it shocked markets by keeping rates on hold in July.

Westpac chief economist Luci Ellis said the inflation result meant the RBA would continue reducing monetary restrictiveness.

“The RBA monetary policy board in July opted to wait for more confirmation that inflation is on track to return to the midpoint of the 2-3 per cent target range and stay there,” she said.

“That confirmation has now come with the full June quarter CPI data.

“We therefore expect the RBA to cut rates by 25 basis points at its August meeting, to 3.6 per cent.

“Further cuts in November, February 2026 and May 2026, also look increasingly likely.”

The RBA has already cut rates twice this year in February and May, and is poised to repeat that quarterly move in August.

The odds of an August cut firmed from 92 per cent to 100 per cent, according to money market pricing, which is fully factoring in an additional 0.25 of a percentage point rate cut before the end of the year and an 80 per cent chance of a third cut from now.

Price pressures eased for transport (-2.6 per cent), clothing and footwear (1.2 per cent) and furnishings and household equipment (1 per cent) over the 12 months.

But sharper price increases were recorded for alcohol and tobacco (5.7 per cent), education (5.5 per cent) and health (4.1 per cent).

Underlying inflation was 0.6 per cent for the three months and 2.7 per cent for the 12 months to June 30 – the lowest result since late 2021.

Underlying or trimmed mean inflation [https://www.afr.com/policy/economy/inflation-steady-but-rba-s-preferred-measure-edges-up-20250226-p5lf83] strips out more volatile and temporary price movements and gives a better read than headline inflation on the economy's true inflation pulse. It removes the artificial impact of energy bill rebates, which will eventually unwind.

Hence, the RBA predominantly focuses on underlying inflation to make interest rate decisions.

While it was slightly above the RBA's forecast of 2.6 per cent, it was still down from 2.9 per

cent in the March quarter.

EY senior economist Paula Gadsby said the RBA's cash rate was likely to fall several more times this year.

"This gives the board the opportunity to cut the cash rate at the August meeting, as the risks around inflation are more balanced, while private demand conditions remain weak and overseas developments present downside risks to the economic outlook."

Treasurer Jim Chalmers said with inflation pressures easing and the economy soft, the government's primary focus was shifting to tackling structural productivity challenges at a roundtable on August 19 to 21 with business, unions and community leaders.

"We are attentive to those cyclical issues,

weaker growth, getting on top of inflation, but we're also increasingly focused on the bigger structural issues, productivity growth in our economy," Chalmers said.

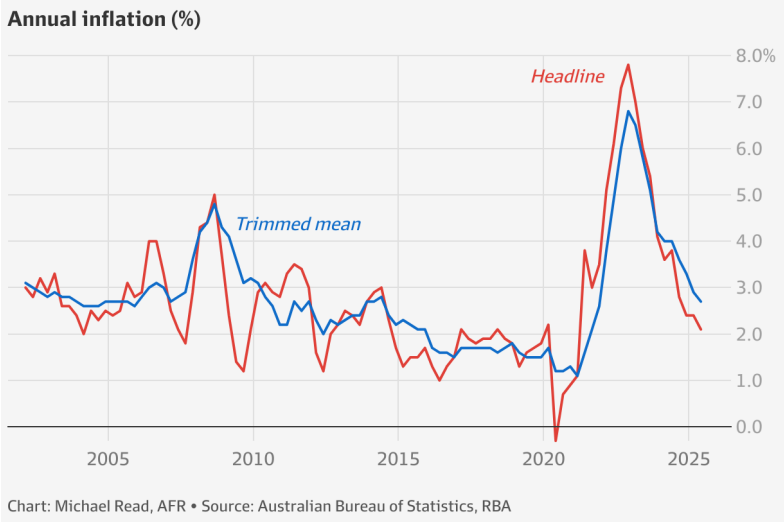
"The intergenerational challenge will increasingly be our focus.

"We need to get the economy growing quicker in a more sustainable way."

RBA governor Michele Bullock said earlier this month that underlying inflation could be a bit higher than the central bank had forecast, but hinted that so long as it was broadly in line with expectations – likely to mean 2.7 per cent or lower – the board could cut the 3.85 per cent cash rate by 0.25 of a percentage point to 3.6 per cent in August.

That test appears to have been passed,

setting up the RBA monetary policy board to cut rates for the third time this year.



While the central bank expected headline inflation to fall to the lower part of the 2 per cent to 3 per cent target band, Bullock said earlier this month it would bounce back towards 3 per cent at the end of the year as temporary government electricity rebates expire.

The RBA would therefore look more closely at underlying inflation, which strips out the most volatile price movements, she said.

"We expect trimmed mean inflation to fall a little further in the June quarter in year-ended terms," Bullock said last week.

"However, the monthly CPI indicator data, which is volatile, suggests that the fall may not be quite as much as we forecast back in May.

"We still think it will show inflation declining slowly towards 2½ per cent, but we are looking for data to support this expectation."

The RBA shocked money markets [https://www.afr.com/policy/economy/rba-leaves-cash-rate-at-3-85pc-shocks-market-20250708-p5mddb] by refusing to cut interest rates this

month, in a split 6-3 decision of the nine-member monetary policy board that disclosed unattributed votes for the first time.

Australian Council of Trade Unions secretary Sally McManus said on Wednesday the RBA should have lowered rates sooner in July.

“Every day the RBA waits to cut rates makes it more likely that the unemployment rate will go up and that’s unacceptable,” she said.

The jobless rate increased to 4.3 per cent in June [https://www.afr.com/policy/economy/jobless-rate-rises-to-4-3pc-cements-rba-rate-cut-20250717-p5mfjj], from 4.1 per cent, but is still low by historical standards.

The monthly CPI indicator for June was also released on Wednesday and showed

headline and trimmed mean inflation were even lower at 1.9 per cent and 2.1 per cent. But the RBA doesn't put much value in the partial monthly data, which measures the prices of fewer goods and services and is not directly comparable to the more holistic quarterly figures.

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